ECON 2302 — Principles of Microeconomics

Exam 3 Review — Form B

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40 multiple-choice questions, 1 point each. Same topics as Exam 3 with new numbers, graphs, and wording — a review, not the exam. Suggested time: 70 minutes.

Name: _____ Score: _____ / 40

Question 1

Labor (workers)	Total product (units)	Marginal product	Average product
0	0		
1		2	
2			2.5
3	10		
4		3	
5	16		
6		1	

The above (incomplete) table provides information about the relationships between labor and various product measures. The total product that can be produced with 6 units of labor is

A. 16
B. 17
C. More information is needed to answer the question.
D. None of the above answers is correct.

Question 2

Labor (workers)	Total product (units)	Marginal product	Average product
0	0		
1		2	
2			2.5
3	10		
4		3	
5	16		
6		1	

The above (incomplete) table provides information about the relationships between labor and various product measures. The amount of labor that maximizes the marginal product of labor is

A. 2 units of labor.
B. 3 units of labor.
C. 4 units of labor.
D. 5 units of labor.

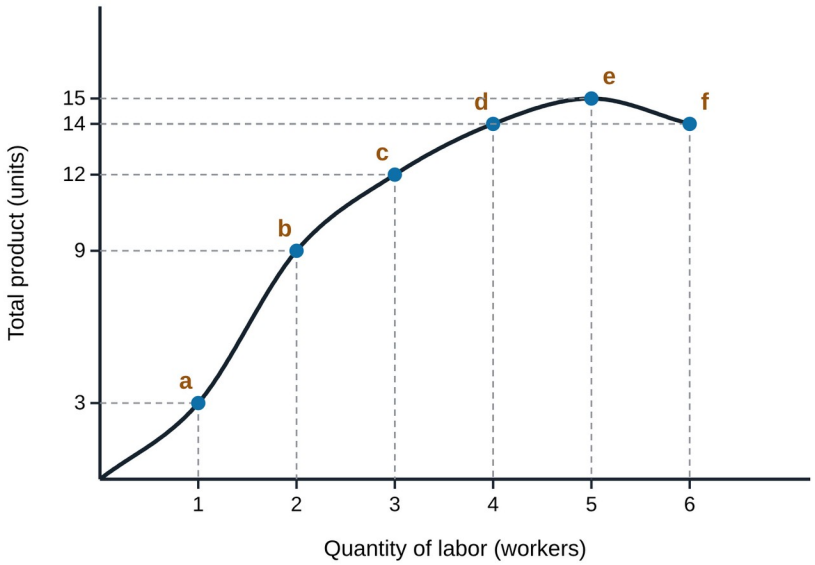
Question 3

Labor (workers)	Total product (units)	Marginal product	Average product
0	0		
1		2	
2			2.5
3	10		
4		3	
5	16		
6		1	

The above (incomplete) table provides information about the relationships between labor and various product measures. The average product of the fourth unit of labor

A. is less than the marginal product of the fourth unit of labor.
B. is equal to the marginal product of the fourth unit of labor.
C. exceeds the marginal product of the fourth unit of labor.
D. is equal to 3.

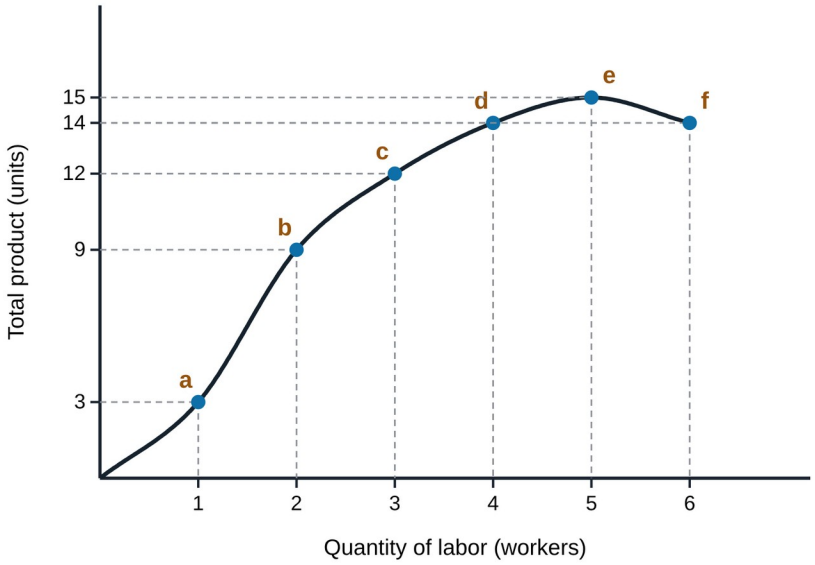
Question 4



In the figure above, the marginal product of the second worker is

A. 3 units
B. 4.5 units
C. 6 units
D. 9 units

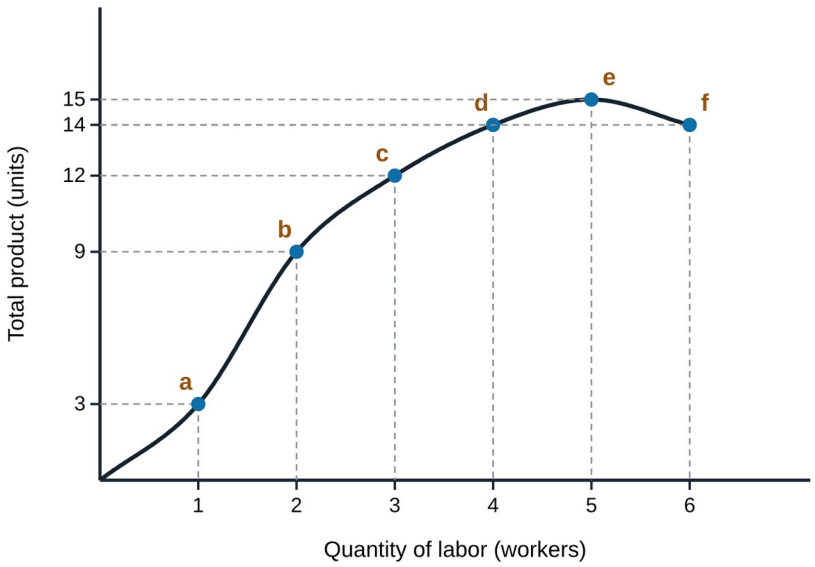
Question 5



At point d in the figure above, the average product of labor equals

A. 2
B. 3.5
C. 4
D. 14

Question 6



In the figure above, the average product of labor at point c is

A. 3
B. 3.5
C. 4
D. 12

Question 7

Labor (workers)	Output (kayaks)	Total fixed cost (dollars)	Total variable cost (dollars)	Total cost (dollars)
0	0	160		
1	16		80	
2	40			
3	48			
4	51			

The table above gives costs at Kiko’s Kayak Works. Unfortunately, the record keeping has been spotty. Each worker is paid $80 a day. Labor costs are the only variable costs of production. What is the total cost of producing 40 kayaks?

A. $160
B. $240
C. $320
D. $400

Question 8

Labor (workers)	Output (kayaks)	Total fixed cost (dollars)	Total variable cost (dollars)	Total cost (dollars)
0	0	160		
1	16		80	
2	40			
3	48			
4	51			

The table above gives costs at Kiko’s Kayak Works. Unfortunately, the record keeping has been spotty. Each worker is paid $80 a day. Labor costs are the only variable costs of production. What is the total fixed cost of producing 51 kayaks?

A. $160
B. $240
C. $320
D. $480

Question 9

Labor (workers)	Output (kayaks)	Total fixed cost (dollars)	Total variable cost (dollars)	Total cost (dollars)
0	0	160		
1	16		80	
2	40			
3	48			
4	51			

The table above gives costs at Kiko’s Kayak Works. Unfortunately, the record keeping has been spotty. Each worker is paid $80 a day. Labor costs are the only variable costs of production. What is the total variable cost of producing 48 kayaks?

A. $160
B. $240
C. $320
D. $400

Question 10

Labor (workers)	Output (lattes)	Total cost (dollars)
0	0	800
5	400	2,000
10	1,000	3,200
15	1,400	4,400
20	1,600	5,600

The table above gives production and cost information for Brew & Bean Café. What is the total fixed cost of producing 1,600 lattes?

A. $800
B. $4,800
C. $5,600
D. More information is needed to determine the answer.

Question 11

Labor (workers)	Output (lattes)	Total cost (dollars)
0	0	800
5	400	2,000
10	1,000	3,200
15	1,400	4,400
20	1,600	5,600

The table above gives production and cost information for Brew & Bean Café. What is the average variable cost of producing 400 lattes?

A. $3
B. $4
C. $5
D. More information is needed to determine the answer.

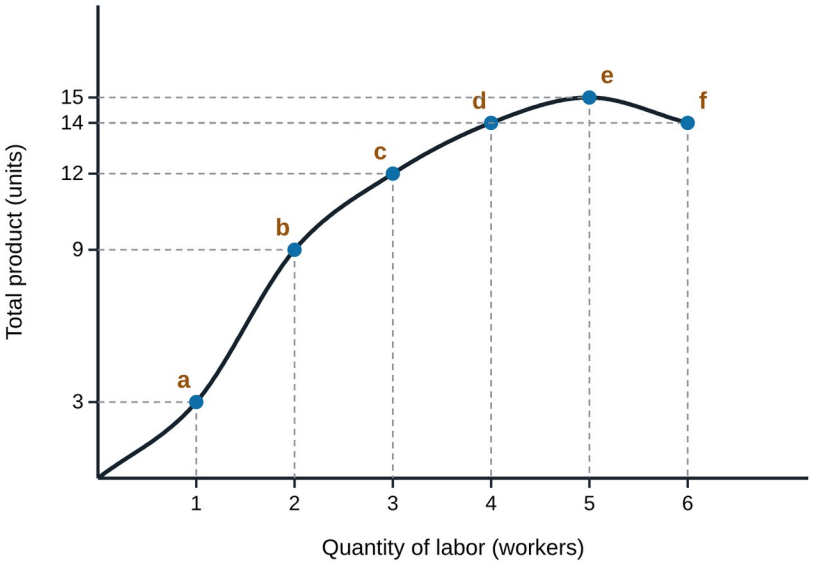
Question 12

Labor (workers)	Output (lattes)	Total cost (dollars)
0	0	800
5	400	2,000
10	1,000	3,200
15	1,400	4,400
20	1,600	5,600

The table above gives production and cost information for Brew & Bean Café. What is the average total cost of producing 1,600 lattes?

A. $3
B. $3.50
C. $5,600
D. More information is needed to determine the answer.

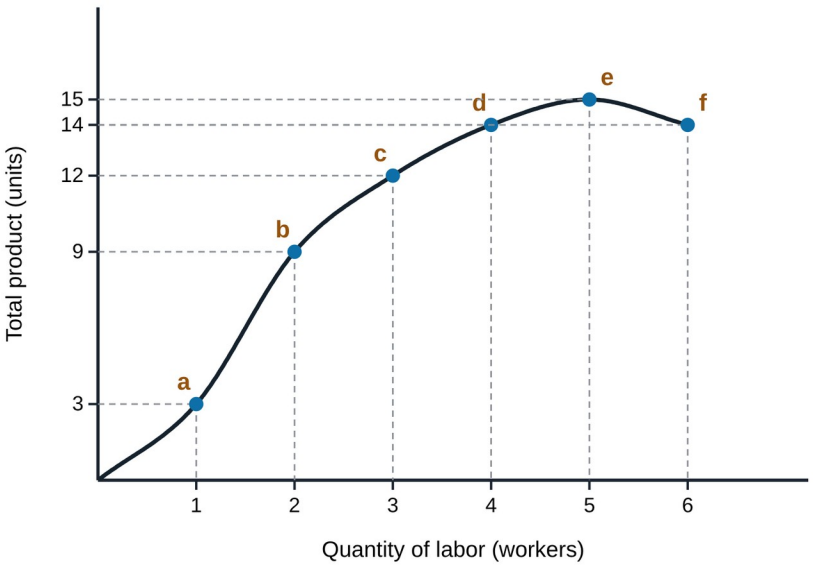
Question 13



In the figure above, after the second worker is hired, the marginal product of labor is

A. increasing.
B. diminishing.
C. constant.
D. zero.

Question 14



In the figure above, the marginal product of labor is zero at point

A. a
B. c
C. e
D. f

Question 15

Quantity sold	Price
14	$9
15	$9
16	$9

In the table above, if the firm sells 14 units of output, its total revenue is

A. $9
B. $117
C. $126
D. $135

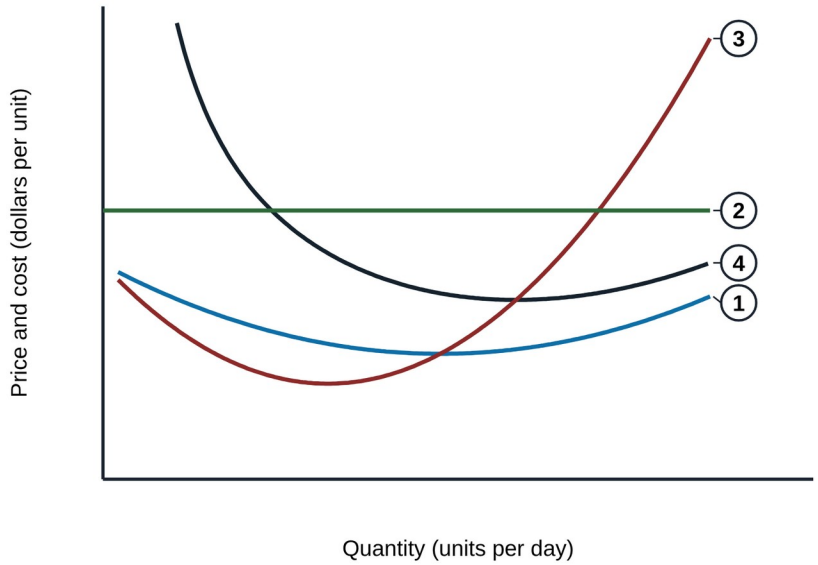
Question 16

Quantity sold	Price
14	$9
15	$9
16	$9

In the table above, if the quantity sold by the firm rises from 14 to 15, its marginal revenue is

A. $9
B. $18
C. $126
D. $135

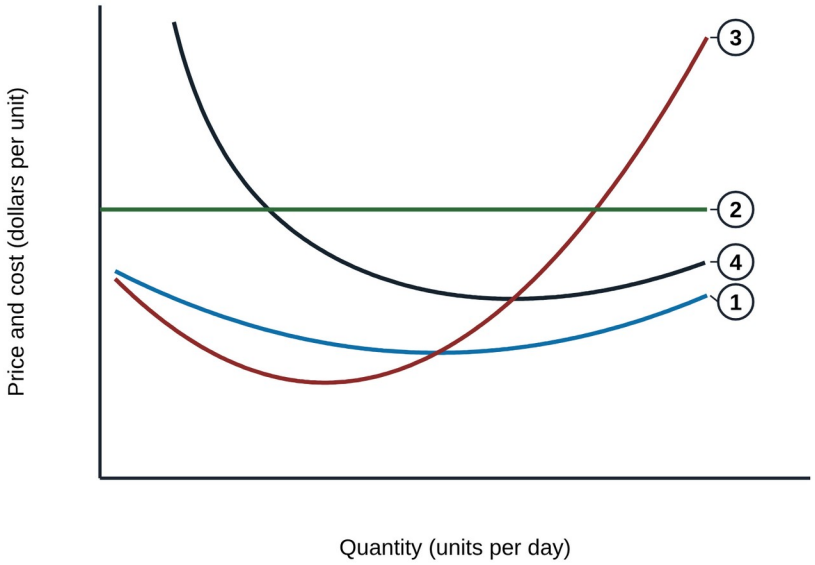
Question 17



In the figure above, the line labeled "2" is the

A. total cost.
B. average fixed cost.
C. average variable cost.
D. marginal revenue.

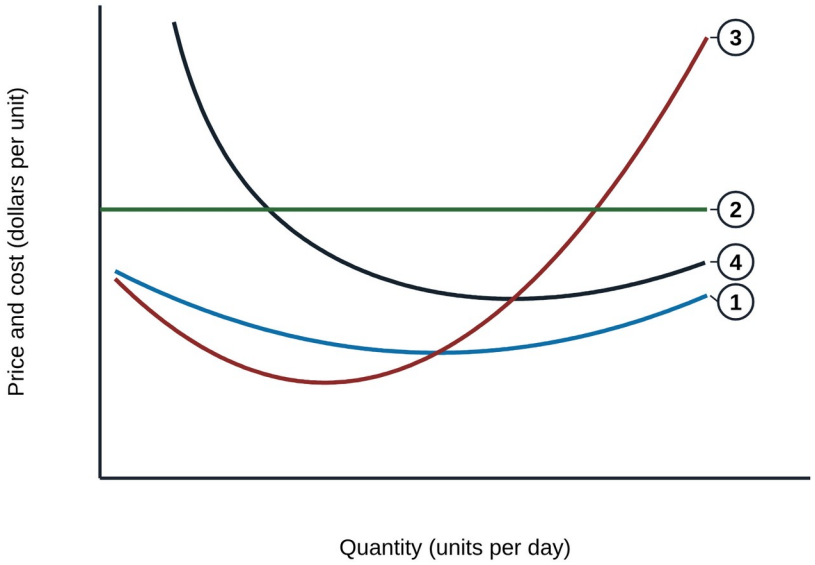
Question 18



In the figure above, the line labeled "1" is the

A. average variable cost.
B. total cost.
C. marginal revenue.
D. average fixed cost.

Question 19



In the figure above, the line labeled "3" is the

A. average fixed cost.
B. marginal revenue.
C. average total cost.
D. marginal cost.

20. Economists define the short run as a period in which

A. at least one of the firm’s inputs is fixed.
B. the firm can vary every input.
C. the firm earns a normal profit.
D. every input the firm uses is fixed.

21. A restaurant paid $5,000 for a nonrefundable sign that it cannot resell. The $5,000 is a

A. marginal cost.
B. sunk cost.
C. variable cost.
D. average fixed cost.

22. The long run is a period in which

A. the firm cannot change its plant size.
B. the firm earns an economic profit.
C. at least one factor of production is fixed.
D. the quantities of all factors of production can be varied.

23. A bakery adds a fifth worker and output rises from 200 to 230 loaves per day, with ovens unchanged. The marginal product of the fifth worker is

A. 230 loaves.
B. 46 loaves.
C. 30 loaves.
D. 200 loaves.

24. Five workers produce 230 loaves per day. The average product of labor is

A. 230 loaves.
B. 1,150 loaves.
C. 30 loaves.
D. 46 loaves.

25. Ten workers produce 120 units, so average product is 12. The tenth worker’s marginal product is also 12 units, and the eleventh worker’s marginal product is 8 units. At 10 workers, the average product of labor is

A. already falling.
B. equal to zero.
C. still rising.
D. at its maximum.

26. Total cost rises from $800 to $830 when output rises from 40 to 41 units. The marginal cost of the 41st unit is

A. $20.24.
B. $30.
C. $830.
D. $20.

27. Total fixed cost is $600. As output rises from 100 to 200 units, average fixed cost
A. rises from $3 to $6.
B. stays at $6.
C. falls, then rises.
D. falls from $6 to $3.

28. At 50 units of output, average total cost is $14 and average fixed cost is $4. Average variable cost is
A. $10.
B. $700.
C. $18.
D. $3.50.

29. As output increases, total cost _____, total fixed cost _____, and total variable cost _____.
A. increases; increases; increases
B. increases; increases; does not change
C. increases; does not change; increases
D. does not change; increases; increases

30. Which of the following are features of a perfectly competitive market?
A. Many firms sell to many buyers.
B. Each firm takes the market price as given.
C. Every firm sells an identical product.
D. All of the above answers are correct.

31. The demand curve that a single wheat farmer faces in a perfectly competitive market is
A. a vertical line.
B. downward sloping.
C. upward sloping.
D. a horizontal line.

32. The price elasticity of demand for one perfectly competitive firm's output is
A. infinite (perfectly elastic).
B. zero (perfectly inelastic).
C. equal to 1 (unit elastic).
D. the same as the market's price elasticity of demand.

33. For a perfectly competitive firm, which equality holds at EVERY level of output?
A. MR = ATC
B. P = AVC
C. P = MR
D. P = ATC

34. A firm is producing the profit-maximizing amount of output when it produces where its _____ curve intersects its _____ curve.
A. MC; MR
B. MC; ATC
C. MC; AVC
D. MC; TR

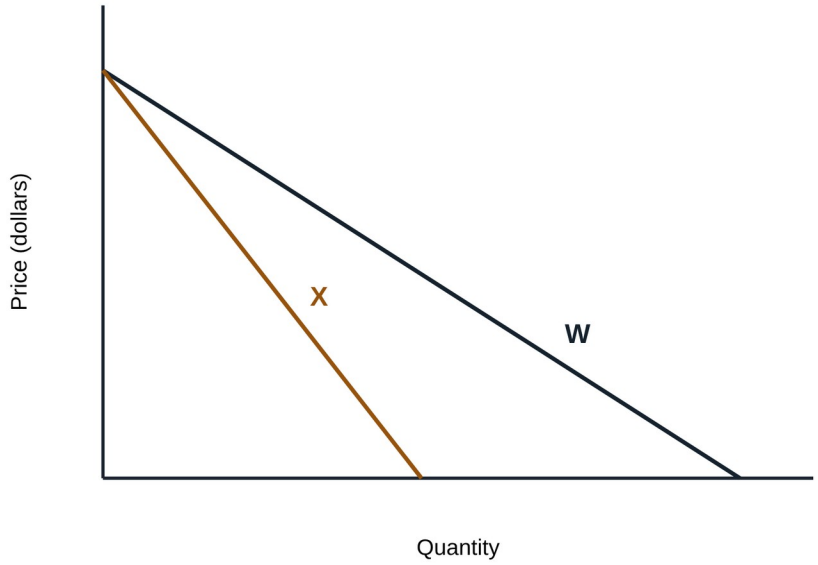
Question 35

Price (dollars per pizza)	Quantity demanded (pizzas per day)
36	0
30	10
24	20
18	30
12	40
6	50

Pia’s Pizza, the only seller of pizzas in a small town, faces the demand schedule shown in the table above and charges every customer the same price. Using the table, what is the marginal revenue of the 25th pizza (the midpoint between 20 and 30 pizzas)?

A. zero
B. $6
C. $21
D. $60

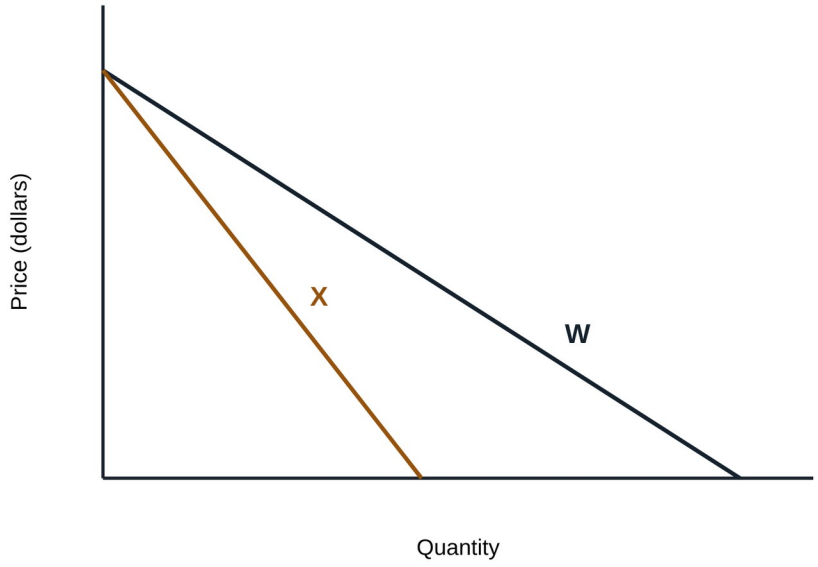
Question 36



In the figure above, X and W are the demand curve and the marginal revenue curve of the same firm. The curve labeled "X" can be

A. a monopoly’s demand curve.
B. a monopoly’s marginal revenue curve.
C. a perfectly competitive firm’s demand curve.
D. a perfectly competitive firm’s marginal revenue curve.

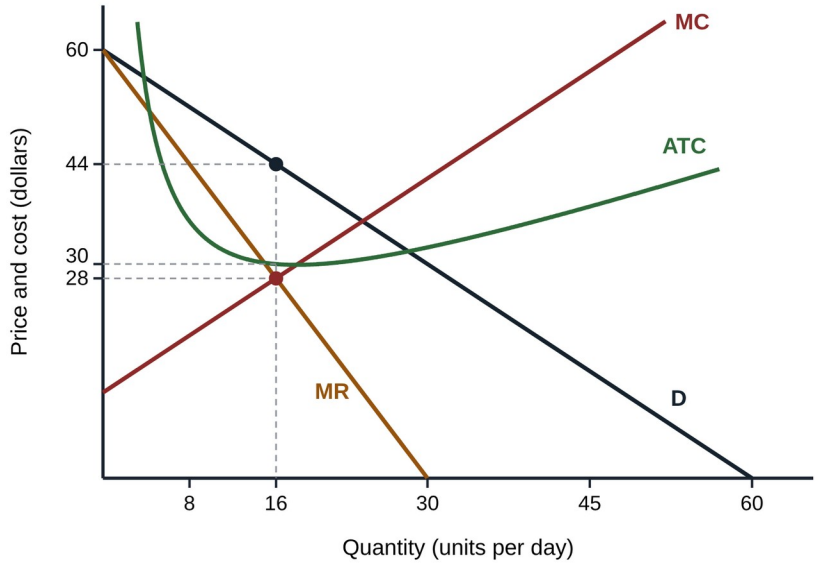
Question 37



In the figure above, X and W are the demand curve and the marginal revenue curve of the same firm. The curve labeled "W" can be

A. a monopoly’s demand curve.
B. a monopoly’s marginal revenue curve.
C. a perfectly competitive firm’s demand curve.
D. a perfectly competitive firm’s marginal revenue curve.

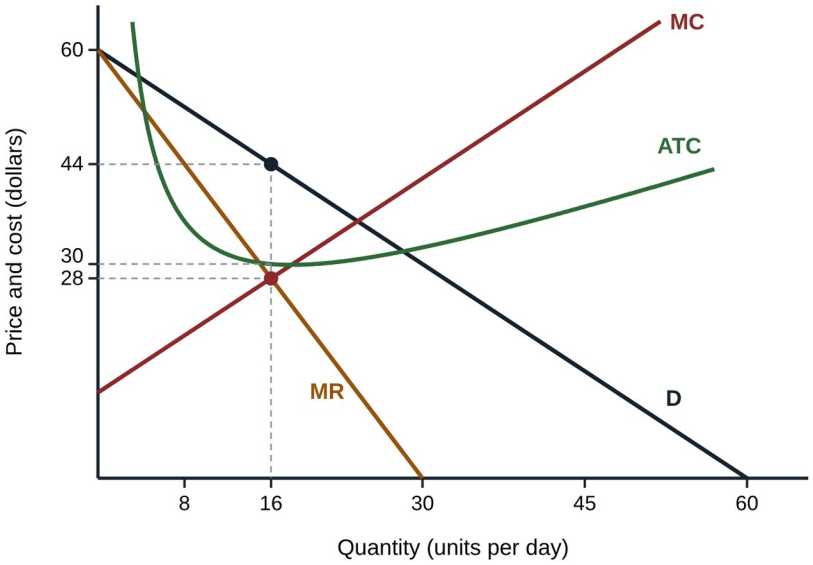
Question 38



The figure above shows the cost, demand (D), and marginal revenue (MR) curves for a single-price monopoly. The firm

A. will make an economic profit of $14 per day.
B. will charge a price of $28 per unit.
C. will produce 16 units per day.
D. will produce 30 units per day.

Question 39



In the figure above, at an output level of _____ units per day, demand is _____.

A. 8; inelastic
B. 30; elastic
C. 30; inelastic
D. 30; unit elastic

40. Under monopoly, when MR = 0, total revenue is

A. still increasing.
B. decreasing.
C. at its minimum.
D. at its maximum.